

DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO 305 W. Colorado Ave, P.O. Box 919 Telluride, Colorado 81435	DATE FILED: December 21, 2022 6:02 PM CASE NUMBER: 2022CV30023
PAMELA M. BENNETT, et al., Plaintiffs, v. JACK A. VICKERS, III, et al., Defendants.	COURT USE ONLY
	Case Number: 22CV30023 Division: 2
ORDER RE: PETITION FOR REVIEW PURSUANT TO C.R.C.P. RULE 106(a)(4)	

This matter is before the Court on Plaintiffs’ petition for review pursuant to C.R.C.P. Rule 106(a)(4). The matter has been fully briefed. Having reviewed the parties’ briefs, the file and relevant authorities, the Court enters this order.

I. FACTS & HISTORY

In this consolidated action, Plaintiffs have filed a Rule 106(a)(4) action to challenge a decision by the San Miguel County Board of County Commissioners (“BOCC”) to rezone an area within the Diamond Ridge PUD from open space to a Community Housing Zone. The property at issue consists of 105 acres of land encompassing three separate lots within the Diamond Ridge PUD. (“Diamond Ridge Property”) in San Miguel County. As part of the original PUD resolution, the area at issue was zoned as Forestry, Agricultural and Open Zone (“F/Ag”). The original PUD and

replat limit development of the subject area to 35-acre single-family use lots. The replated area is now divided into three lots within the Diamond Ridge subdivision: Lot 1-R Diamond Ridge, Lot 2-R Diamond Ridge, and Lot 3-R Diamond Ridge. Plaintiffs are neighboring landowners who object to the rezoning.

The San Miguel County Land Use Code (“LUC”) governs the development and permitted use of the subject area. Under Section 5-307 of the LUC, property zoned as F/Ag “is intended to preserve large, relatively remote areas of the County for resource, agricultural, open space and recreational purposes[,]” and is “considered inappropriate for substantial development.” With respect to residential use, Section 5-307 states that uses allowed by right include “[s]ingle-family dwellings with less than 12,000 sq. ft. of floor area, mobile homes and accessory uses and accessory buildings with footprints less than 3,000 sq. ft...”. Other uses may be permitted subject to a special use permit. But the minimum lot size for each use is 35-acres “except for single-family residential dwellings approved pursuant to the subdivision exemption standards for Open Land Protection.” Section 5-307 G, LUC.

In December 2021, the BOCC passed a resolution amending the LUC to create a new zoning classification, the Community Housing Zone district (“CH”). This classification was created to facilitate the development of affordable housing units. A CH zone is significantly different from an F/Ag zone. For example, section 5-324 of the LUC states that a CH zone shall provide “for the development of high density, clustered housing for people who live and work within San Miguel County[,]” including “attached or detached single-family homes, duplexes, multi-family buildings, or rooming houses” along with “alternative living units such as spaces for RVs, tiny

homes or yurts.” In addition, Section 5-324 contains the following presumption: “When rezoning land to the CH zone district, the higher density that may be achieved in that zone shall not be considered incompatible with surrounding land uses, neighborhood characteristics or community character.” In this way, a CH zone is the antithesis of an F/Ag zone which is designed to preserve remote areas where high-density development is not appropriate.

The passage of the CH zone resolution coincided with the sale of the Diamond Ridge Property to San Miguel County and the Town of Telluride. Defendant Diamond Ranch, LLC owned the Diamond Ridge Property when the BOCC created the CH zone. In January 2022, the County and Town as buyers, and Diamond Ridge as seller, executed a contract to convey the Diamond Ridge Property for the purpose of developing affordable community housing. As part of this transaction, the County and Town proceeded to rezone a 39-acre portion of the Diamond Ridge Property from F/Ag to the newly created CH zone.

The record shows that Commissioner Hilary Cooper had numerous discussions with the Town’s Program Director, Lance McDonald concerning the plan to rezone the Diamond Ridge area for the purpose of building community housing. Most of these discussions occurred in the summer and fall of 2021, several months before the BOCC created the new CH zone. The record contains many text messages and e-mails between Commissioner Cooper and McDonald detailing the plan between the County and Town to purchase the Diamond Ridge Property for the purpose of rezoning it for community housing. The essential elements of the plan were to amend the LUC to create the new CH zone, purchase the property with grant money from the

Colorado Department of Local Affairs (“DOLA”), and rezone it from F/Ag to CH. These communications show that Commissioner Copper strongly advocated for this plan.

On behalf of the Town, McDonald submitted the land use application for rezoning the property from F/Ag to CH. McDonald is named in the application as the “representative/agent” for the applicant. The County’s Planning Commission approved the application, and the matter was appealed to the BOCC for a final hearing. Before the rezoning hearing, Plaintiffs’ counsel made a written request to the BOCC that Commissioner Cooper be recused from the proceedings because of her communications with McDonald concerning the rezoning plan. Commissioner Copper refused to recuse herself and participated in the final adjudication. The BOCC approved the rezoning by a 3-0 vote.

Plaintiffs filed this action for judicial review under Rule 106(a)(4), arguing that the BOCC abused its discretion and violated due process when it approved the rezoning. They have also filed a claim for declaratory relief under Rule 57 that challenges the amendments to the LUC that created the CH zone. In this order, the Court will only decide the Rule 106 claim that challenges the legality of the rezoning decision. The Rule 57 claim is not at issue.

This matter reflects two important yet conflicting issues for local governments; on the one hand the profound need for affordable housing in or near the community, and on the other hand, the preservation of the pastoral, open space, mountain vistas, wildlife and quite of the formally rural area. The history of the property in dispute is that it was part of the Aldasaro Sheep Ranch on Deep Creek Mesa. The Property is near the Telluride Airport. The property in question is 39 acres.

II. STANDARD OF REVIEW

Review under Rule 106(a)(4)(I) is limited to whether “the body or officer has exceeded its jurisdiction or abused its discretion, based on the evidence in the record before the defendant body or officer.” The Court may reverse the decision below if (1) the administrative body applied an erroneous legal standard; or (2) if there is no competent evidence to support the decision. *City of Colorado Springs v. Givan*, 897 P.2d 753, 756 (Colo. 1995). The failure to provide due process is also an abuse of discretion. *Fisher v. Colorado Dept. of Corrections*, 56 P.3d 1210, 1213 (Colo. App. 2002).

III. ANALYSIS

A. Irrebuttable Presumption Argument

The Court will first address Plaintiffs’ argument that the rezoning violates due process because the CH zone imposes an irrebuttable presumption that higher density development is compatible with the surrounding area. The Court disagrees.

“Statutes creating permanent irrebuttable presumptions have long been disfavored under the due process clauses of the Fifth and Fourteenth Amendments to the United States Constitution.” *People in Interest of S.P.B.*, 651 P.2d 1213, 1217 (Colo. 1982). But due process only requires a decision-maker to permit rebuttal when a case is “appropriate for review under a heightened standard of scrutiny.” *Id.* This means that the “irrebuttable presumption doctrine” applies only when a law infringes upon a party’s fundamental constitutional right. *People in Interest of T.B.*, 490 P.3d 455, 466-7 (Colo. App. 2019), *rev’d in part on other grounds*,

489 P.3d 752 (Colo. 2021) (declining to apply irrebuttable presumption doctrine because respondent did not identify a fundamental constitutional interest that was infringed by registration requirement).

Here, Section 5-324 of the LUC states that when rezoning land to a CH zone, the higher density achieved in that zone “shall not be considered incompatible with surrounding land uses, neighborhood characteristics or community character.” Plaintiffs insist that this language imposes an irrebuttable presumption because there is no way for an objecting party to prove that higher density development would be incompatible with the surrounding land uses. Even so, the irrebuttable presumption doctrine only applies to protect a fundamental constitutional interest, but Plaintiffs have cited no authorities to establish that the rezoning infringes upon their fundamental constitutional rights or that it implicates a suspect classification. Therefore, the CH zone does not violate the irrebuttable presumption doctrine because Plaintiffs are not entitled to a heightened standard of review.

B. Recusal Issue

The Court will next address Plaintiffs’ contention that Commissioner Cooper abused her discretion by not recusing herself from participating in the rezoning hearing. Before the rezoning, Commissioner Cooper had numerous discussions with McDonald concerning the plan to buy the Diamond Ridge Property and develop it for affordable housing. McDonald was an interested party in the rezoning because he was named as a “representative/agent” in the land

use application to rezone the property from F/Ag to CH. McDonald was directly involved in purchasing the property as the Town's representative. It is clear from the context of these communications that Commissioner Cooper advocated for the rezoning plan and that she played an active role in executing that plan. This in and of itself is appropriate as the County seeks to address affordable housing issues, which, while not unique to San Miguel County and Telluride, are perhaps, more pressing than in many communities in the State.

Commissioner Cooper sent a text message to McDonald asking him if he was "okay with a one-step subdivision review process to allow public/CPC board input AFTER the zoning." McDonald replied, "Yes, but not if it determines the density. The density has to be by right." In another text exchange, she told McDonald that "We are deep into the rezone process because they are insisting that it stay as a 2 step process. Which changes nothing." In the same exchange, Cooper said, "Maybe it is time to declare an emergency, zone the land and let you guys buy it with a commitment to pay you back once we get the money from DOLA."

Shortly after the BOCC created the CH zone, McDonald had another text exchange with Cooper in which he said, "Mike just sent me the zoning resolution. It looks a lot better than what he and I were thinking. I think we've got a good argument." Cooper replied, "Me too. And I just confirmed with Kaye that there are not any specific submission requirements for the 'rezone' just the narrative and any 'available studies' she kept referencing the need for 'reasonable expectations. So, we will have to see if the town showing up in support of the rezone is a reasonable expectation."

Collectively, these exchanges show that Commissioner Cooper was deeply involved in the plan to purchase the Diamond Ridge Property, rezone it to the newly created CH zone, and develop it for affordable housing. She had repeated communications with McDonald before the rezoning hearing and she expressed a clear bias in favor of approving the rezoning application.

There is a rebuttable presumption that an administrative hearing was impartial. *Venard v. Dept. of Corrections*, 72 P.3d 446, 449 (Colo. App. 2003). Even so, due process requires neutrality in quasi-judicial proceedings. *No Laporte Gravel Corp. v. Bd. Of County Com'rs*, 507 P.3d 1053, 1063 (Colo. App. 2022). This requires the commissioners to act without a “personal, financial, or official stake in the decision evidencing a conflict of interest on the part of a decision-maker.” *Id.* An administrative decision must be reversed if any of the board members improperly prejudged the evidence. *Tepley v. Public Employees Retirement Ass'n*, 955 P.2d 573, 578-9 (Colo. App. 1997).

Here, the record shows that Commissioner Cooper collaborated with McDonald to have the Town purchase the Diamond Ridge Property and rezone it to the newly created CH zone. McDonald was the Town’s agent in the rezoning application and was an interested party in the proceedings. She even suggested to McDonald that they declare an “emergency” in order to expedite the purchase of the land and rush through the rezoning. This means that it can reasonably be perceived that Commissioner Cooper prejudged the matter and participated in the rezoning hearing with an actual bias.

Before the final hearing, Plaintiffs' counsel submitted a written request to the BOCC for Commissioner Cooper's recusal which included copies of the communications between herself and McDonald concerning the Diamond Ridge project. These communications show that Commissioner Cooper had a pivotal role in advancing the plan to rezone the Diamond Ridge Property for community housing. She acted both as an advocate for the rezoning and as an adjudicator. This precludes her ability to be an impartial adjudicator.

The analysis in *Tepley* is instructive. In that case, the court of appeals held that due process was violated because the final adjudication by the PERA board included three board members who initially denied the plaintiff's application for disability benefits. *Id.* at 579. The *Tepley* court reached that conclusion because the record showed that the three board members had prejudged the evidence. *Id.* The court found that due process was violated even though the three board members abstained from the final vote by the full PERA board. *Id.* at 578. Thus, *Tepley* stands for the proposition that due process is violated whenever an adjudicator who participates in a quasi-judicial hearing has prejudged the matter under review. That is what occurred in this case.

Contrary to the BOCC's position, the holding in *Mtn. States Tel. & Tel. Co. v. Public Utilities Com'n of State of Colorado*, 763 P.2d 1020, 1028 (Colo. 1988), does not compel a different result. In that case, a member of the PUC testified in a related court proceeding concerning the matter under administrative review, and later participated as one of the three commissioners who made the final decision. The supreme court held that due process was not violated because (1) the plaintiff moved for the commissioner's recusal after the PUC made its final

decision; and (2) there was no specific showing that the commissioner “[was] incapable of judging the particular controversy fairly on the basis of its own circumstances.” 763 P.2d at 1028-9. But that case is inapposite because there is specific evidence in the record showing that Commissioner Cooper had likely prejudged the rezoning and Plaintiffs’ counsel asked for her recusal before the final hearing.

Likewise, the holding in *Applebaugh v. Bd. Of County Com’rs*, 837 P.2d 304, 309 (Colo. App. 1992), is not dispositive. The *Applebaugh* court held that due process was not violated even though the defendant commissioners initiated a rezoning request while also acting as the final adjudicators. But the key fact in that case was that there was no evidence of actual bias against the objecting party. 837 P.2d at 309 (“Here, although the Board was the applicant as well as the decision-maker on the rezoning decision, there is nothing in the record to show it was incapable of judging the issue fairly.”). But here, the record shows that Commissioner Cooper had a pivotal role in devising the plan to purchase the Diamond Ridge Property and rezone it for community housing. Unlike the adjudicators in *Mountain States* and *Applebaugh*, there is record support of specific evidence that Commissioner Cooper could not act as a neutral adjudicator under the circumstances.

The BOCC also suggests that due process was not violated by the “rule of necessity.” This rule prevents an adjudicatory body from being disqualified from deciding a matter if it is the only tribunal authorized by law to decide the matter. *Leonard v. Bd. Of Dir., Prowers County Hosp. Dist.*, 673 P.2d 1019, 1023 (Colo. App. 1983). But this rule does not apply because the other two members of the BOCC could have ruled on the rezoning even if Commissioner

Cooper had been recused. Cooper's recusal would not require the entire BOCC to be disqualified because there is no evidence that the other commissioners had prejudged the rezoning.

The Court has stated in its prior orders that it is sometimes appropriate for a public official to state an opinion concerning important matters of public policy. Even so, there are important limits to a public official's advocacy for a specific policy when that official is acting in a quasi-judicial capacity. "While a strong conviction or crystallized point of view on questions of law and policy is not grounds for disqualification, it is error for an administrative decision maker to prejudge matters of evidentiary fact that are dispositive of the case." *Tepley*, 955 P.2d at 578. The problem here is that Commissioner Cooper did not simply express her opinions concerning the need to develop affordable housing in the Telluride area. Rather, she was a driving force behind the plan to purchase the Diamond Ridge Property and rezone it for community housing. She later acted as one of three final adjudicators in the rezoning decision. The record supports Plaintiffs assertions that Commissioner Cooper crossed the line from expressing a policy preference for affordable housing to prejudging a specific matter before the BOCC.

The Court recognizes that the BOCC's rezoning decision was unanimous and that it may appear on the surface that Commissioner Copper's participation in the rezoning hearing was not prejudicial to Plaintiffs. But in *Tepley*, due process was violated even though the board members who prejudged the matter abstained from voting on the final decision. 955 P.2d at 578-9. A similar result occurred in *deKoevend v. Bd. Of Educ. Of West End School Dist. RE-2*, 688

P.2d 219 (Colo. 1984), where due process was violated when a school board dismissed a tenured teacher after allowing the officials who initiated the charges to be present during the final deliberations. Although the officials did not participate in the board's final decision, their presence during the deliberative process "was such as to substantially undermine the appearance of impartiality," and "was sufficient to overcome the presumption of regularity attendant to an administrative proceeding." 688 P.2d at 228.

Under the holdings in *Tepley* and *deKoevend*, Plaintiffs need not prove that Commissioner Cooper's participation in the final hearing resulted in actual prejudice. They need only show that there is record support that she prejudged the matter and participated in the proceedings. That showing has been made here. Therefore, the Court finds that Plaintiffs were deprived of due process by Commissioner Cooper's participation in the final adjudication.

C. Spot Zoning

Plaintiffs further argue that the Diamond Ridge Property was illegally "spot zoned." In general, a change in zoning must be reasonably consistent with a comprehensive zoning plan. But the term "spot zoning" refers to "any rezoning of an individual or small tract of land that does not reasonably further the general welfare or that is not reasonably consistent with a comprehensive zoning plan." 3 *Rathkopf's The Law of Zoning and Planning* § 41:2 (4th ed.). In Colorado, the test for spot zoning is "whether the change in question was made with the purpose of furthering a comprehensive zoning plan or designed merely to relieve a particular

property from the restrictions of the zoning regulations.” *Clark v. City of Boulder*, 146 Colo. 526, 531, 362 P.2d 160, 162 (1961). Spot zoning does not occur when the rezoning “is for the purpose of furthering a comprehensive zoning plan or based on changed conditions[.]” *Whitelaw v. Denver City Council*, 405 P.3d 433, 445 (Colo. App. 2017).

Plaintiffs insist that spot zoning has occurred because (1) an F/Ag zone places strict limitations on the ability to develop remote areas for high density housing; and (2) the rezoning of the Diamond Ridge Property to the newly created CH zone conflicts with this policy by explicitly allowing high density development as a matter of right. Plaintiffs further argue that land zoned as F/Ag is the lowest priority for rezoning to CH and that the BOCC did not consider more suitable alternatives.

The Court agrees with Plaintiffs that the rezoning of the Diamond Ridge Property is not reasonably consistent with the comprehensive zoning plan. The entire Diamond Ridge PUD was originally zoned as F/Ag which is designed to “preserve large, relatively remote areas of the County for resource, agricultural, open space and recreational purposes[.]” and is “considered inappropriate for substantial development.” Section 5-307, LUC. Any land zoned F/Ag is appropriate for single-family housing development with considerable open space, but not appropriate for multi-family structures. *Id.*

Conversely, land zoned as CH must provide for “the development of high density, clustered housing[.]” including “attached or detached single-family homes, duplexes, multi-family

buildings, or rooming houses” along with “alternative living units such as spaces for RVs, tiny homes or yurts.” Section 5-324, LUC. These two land uses are highly incompatible: the F/Ag zone preserves open space with limited development while the CH zone creates “high density, clustered housing.”

But the BOCC has rezoned 39 acres of the Diamond Ridge Property from F/Ag to CH which now allows a developer to build up to 20 homes per acre as a matter of right. Section 5-324 G, LUC. This rezoning bears no relation to the original purpose for which the Diamond Ridge PUD was created and will fundamentally change the character of the area.

According to the Telluride “Future Land Use Plan,” the area at issue is designated as “Low Density Residential Cluster” (“LDRC”). This is part of the Telluride Regional Area Master Plan (“Master Plan”). Under the Master Plan, areas within the LDRC zone are reserved for low density development where “[p]rincipal uses may include single-family and duplex dwellings,” where density “may vary from one unit per six to eight acres.” Conversely, the CH zone allows for density of up to 20 units per acre. It is clear from the record that the rezoning of the Diamond Ridge Property to CH conflicts with the Master Plan because the CH zone would allow for a much greater magnitude of high-density development than what is allowed by the Master Plan.

The BOCC suggests that the rezoning conforms with the Master Plan because the County’s Planning Commission amended the Master Plan in December 2021. But the BOCC fails to explain with specificity as to how these amendments would bring the rezoning into conformity

with the Master Plan. The BOCC's conclusory argument does not rebut Plaintiffs' position that the rezoning violates the Master Plan. The Court does not find anything in the record to support the BOCC's position that the Master Plan was properly amended to allow highly clustered residential development to occur within areas designated for low density use.

The BOCC further argues that the Master Plan is merely advisory and need not be followed in every instance. However, the Master Plan becomes binding once it is incorporated into the zoning regulations. Section 30-28-106(3)(a), C.R.S. (a master plan "may be made binding by inclusion in the county's or region's adopted subdivision, zoning, platting, planned unit development, or other similar land development regulations..."). The LUC states that all high-density development within Telluride must comport with the Master Plan. Section 5-302(A), LUC. The BOCC misapplied the law by disregarding the Master Plan because there has been no meaningful change in the character of the neighborhood to justify such a radical departure from the Master Plan. *See Clark*, 362 P.2d at 163 ("Property owners have the right to rely on existing zoning regulations when there has been no material change in the character of the neighborhood which may require re-zoning in the public interest."). Therefore, the Court agrees with Plaintiffs' position that the Diamond Ridge Property was illegally spot zoned.

IV. CONCLUSION

The Court finds as a matter of law that the ordinance creating the CH zone does not violate the "irrebuttable presumption" doctrine because Plaintiffs are not entitled to a heightened standard of review. Even so, the record shows that Commissioner Cooper abused her discretion by not recusing herself from the final rezoning decision and that her participation in

the rezoning hearing violated Plaintiffs' right to due process. Furthermore, the BOCC misapplied the law by spot zoning the Diamond Ridge Property in disregard of the Master Plan and other regulations. Accordingly, the Court grants Plaintiffs' request to vacate the BOCC's May 18, 2022 decision approving the application to rezone the Diamond Ridge Property. The remaining issues raised in the parties' briefs are deemed moot.

Dated this 21st day of December, 2022

BY THE COURT:

A handwritten signature in black ink, appearing to read "J. Steven Patrick", is written over a horizontal line. The signature is stylized with a large initial "J" and a circular flourish at the end.

J. Steven Patrick, District Court Judge